

EXECUTIVE SUMMARY & IMMEDIATE ACTIONS

● BUSINESS CONTEXT

Cross-sectional data analysis suggests this is a high-cost / low-efficiency operating structure, as Tier A yields the weakest median ticket economics despite carrying premium metropolitan operating costs. Suburban/Emerging (Tier C) stores are severely outperforming Tier A in unit economics and premium product sales.

● STRATEGIC ACTIONS

01

CapEx Reallocation

Audit net-new retail expansion models in Tier A. Immediately shift Q3 inventory and marketing capital toward Tier C operations.

02

Inventory Balancing

Implement a dual-inventory strategy in Tier A to upsell convenience buyers. Route excess premium inventory (Category 1) directly to Tier C.

03

Targeted Win-Back

Launch a VIP retargeting campaign for the high-ticket / low-frequency segment currently grouped under the Low Value cohort. Despite demonstrating low repeat frequency, their Median Order Value (\$8,207) mathematically rivals our core Champions (\$8,028), indicating the business may be under-retaining premium-potential customers.

DATA ARCHITECTURE & BUSINESS RISKS (DQR)

DATASET PROFILE

TOTAL RECORDS

550,068

Transaction Lines

DATA HEALTH

100%

Zero Nulls / Hazards

GRANULARITY

1 Item / User Row

Single Transaction Grain

● CRITICAL BUSINESS HAZARDS

01 Missing Temporal Dimension

The dataset lacks a Date/Time grain. This makes cohort decay, seasonality, and standard churn modeling impossible. All retention strategies must rely on cross-sectional behavioral frequency.

02 Right-Skewed Unit Economics (High Risk)

The data is heavily influenced by high-ticket outliers (Mean spend is \$9,263, but Median is ~\$8,047). Averages alone artificially inflate segment value. To eliminate outlier distortion, all strategic targeting and unit economics in this deck are calculated using **Median Order Value**. Median-based metrics were used in all strategic interpretations where outlier distortion materially affected averages.

03 Abstract Categoricals

Occupation and City variables are masked. Implementation of these insights requires a mapping table to translate Tier A/B/C and Occupations 1-20 into operational reality.

INSIGHT 1 - THE METRO MARGIN TRAP

THE DATA

Tier A (Metro) captures the lowest total volume (\$1.31B) and the lowest median ticket size (\$7,931). Tier C (Suburban) drives significantly higher median ticket (\$8,585).

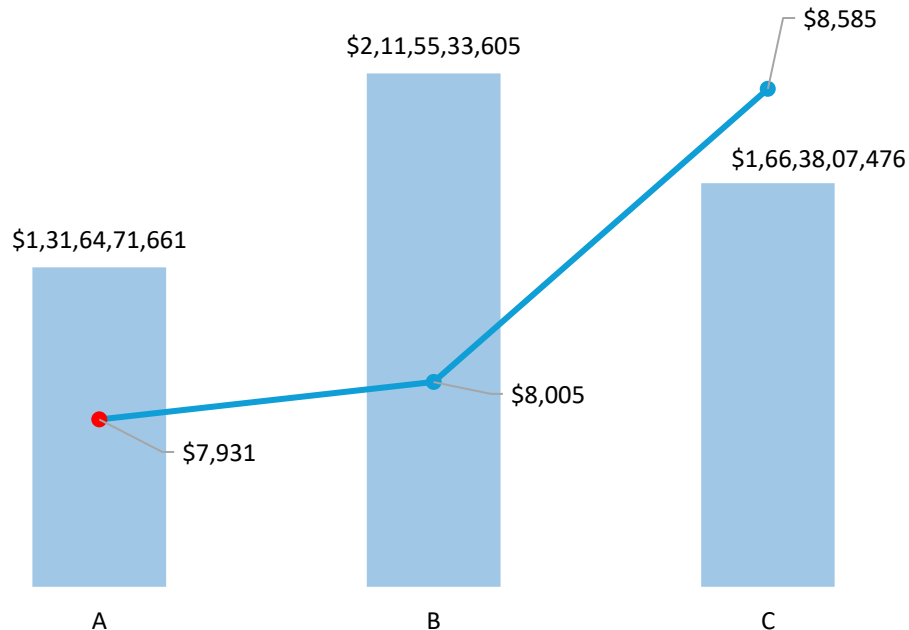
THE FINDING

We are paying premium metropolitan commercial rent for stores that yield our weakest ticket efficiency relative to operating cost assumptions.

THE ACTION

Freeze Tier A store footprint expansion. Audit operating costs of Tier A locations to determine if convenience volume justifies the real estate overhead.

Revenue Efficiency and Median Ticket Size: Tier A Underperforms in Both Dimensions



INSIGHT 2 - PRODUCT CANNIBALIZATION

● THE DATA

Tier A budget is diluted by lower-ticket product mix; over 51% of their top-category spend goes to Categories 5 & 8 (\$6k-\$7k). Conversely, **55% of Tier C's top-category budget** goes to premium Category 1 (\$13.6k).

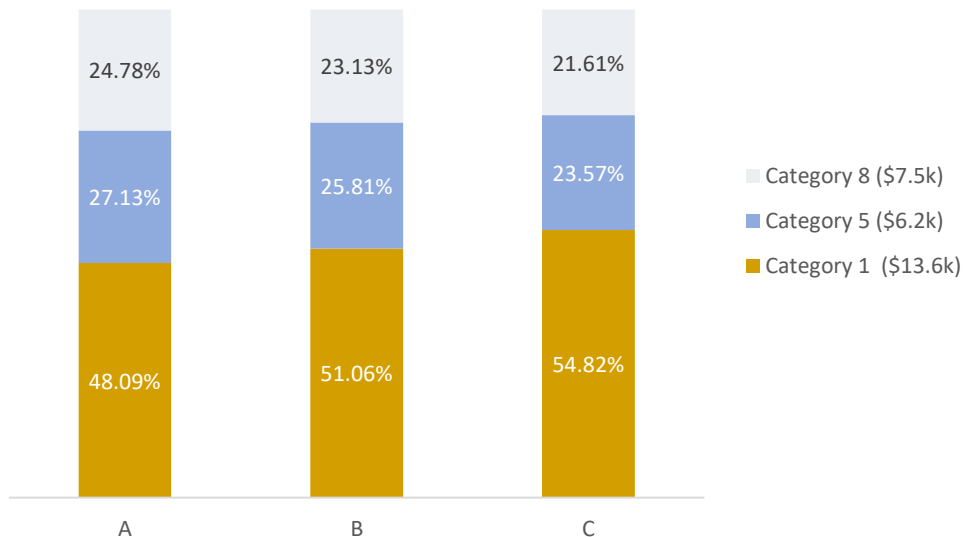
● THE FINDING

Tier A stores act as **convenience centers**, while Tier C stores exhibit stronger **premium-category concentration**.

● THE ACTION

Optimize supply chain routing. Tier C requires deeper Category 1 inventory. Tier A requires aggressive point-of-sale upselling tactics to improve ticket-size efficiency.

Product Cannibalization: Tier A Wallet Share Diluted by Low-Ticket Categories (5 & 8)



INSIGHT 3 - GEOGRAPHIC SEGMENTATION ANOMALY

The Whale Multiplier: Tier C Dominates the 'Big Spender' Quadrant

THE DATA

The high-monetary / low-frequency segment in Tier C generates \$57.3M. The exact same behavioral cohort in Tier A generates only \$8.5M.

THE FINDING

Tier C dominates the high-monetary / low-frequency quadrant, yielding a **6.8x revenue multiplier** over Tier A for premium buyers. The same behavioral segment exhibits materially different revenue concentration across geographic tiers.

THE ACTION

Reallocate regional marketing budgets. Stop subsidizing Tier A acquisition and aggressively acquire high-ticket buyers in Tier C regions.



Quadrants derived using median frequency (54) and median monetary (521,213) thresholds.

INSIGHT 4 - THE RETENTION FAILURE (Outlier-Adjusted)

THE DATA

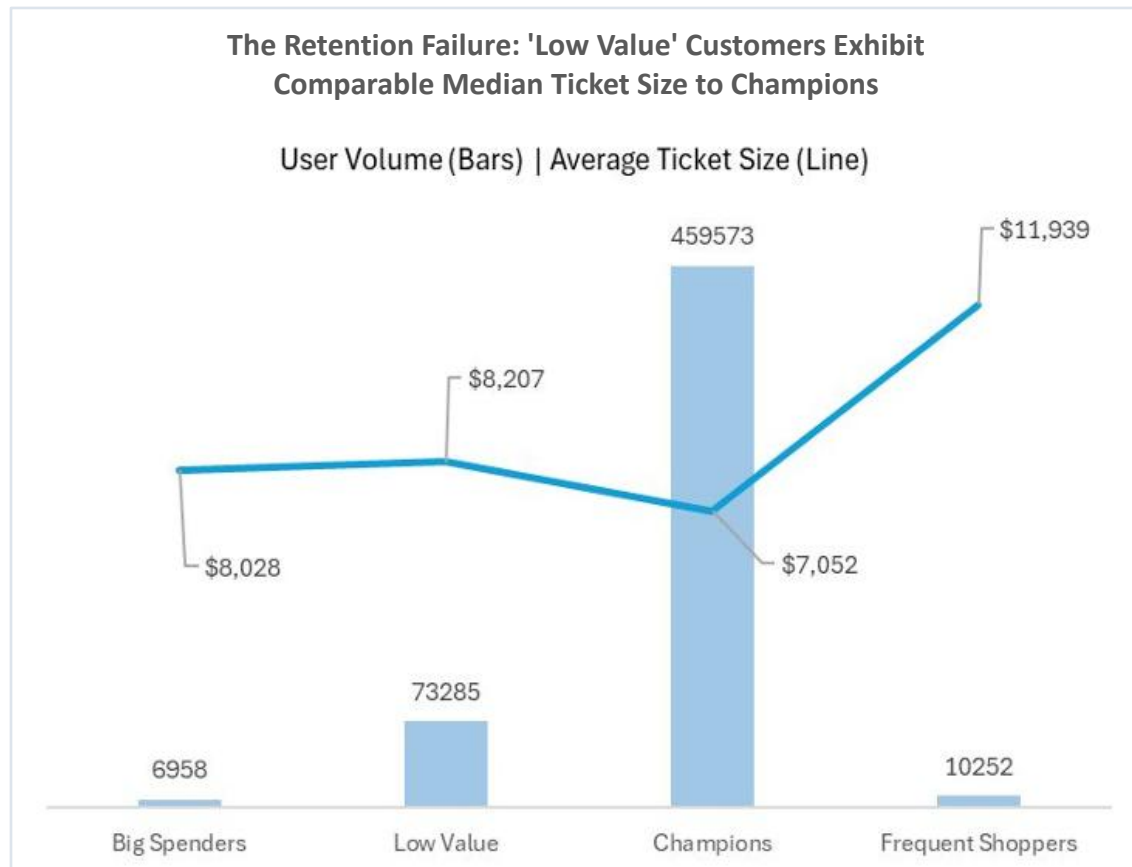
When stripping out outliers, the true Median Ticket Size of a "Champion" is only \$8,028. However, the segment classified internally as "Low Value" has a Median Ticket Size of \$8,207.

THE FINDING

The "Low Value" segment represents a **potential retention inefficiency**. Their true Median Ticket Size (\$8,207) slightly outpaces our core Champions (\$8,028). They are premium Category 1 buyers who match our best customers in purchasing power but demonstrate low repeat frequency despite premium purchase behavior.

THE ACTION

Overhaul the CRM classification immediately. Deploy VIP retention marketing specifically to this cohort to drive a second purchase.



CUSTOMER PROFILING MATRIX

SEGMENT	MEDIAN AOV	PROFILE DATA	STRATEGIC ROLE
Big Spenders	\$11,938	REGION: Tier C (Dominant) DEMO: Males 26-35 PREF: Category 1	PREMIUM REVENUE DRIVERS High-ticket buyers living in low-cost operational regions.
Champions	\$8,028	REGION: Tier B (Dominant) DEMO: Males 26-35 PREF: Category 1 & 5	VOLUME ENGINE High frequency, but median ticket size diluted by lower-ticket purchasing behavior.
Frequent Shoppers	\$7,051	REGION: Tier C (Dominant) DEMO: Males 26-35 PREF: Category 5	UPSELL CANDIDATES High foot traffic, low basket size. Requires dual-inventory strategy to upsell.
Retention Risk	\$8,207	REGION: Tier C (Dominant) DEMO: Males 26-35 PREF: Category 1	RETENTION TARGET High-ticket customers demonstrating low repeat frequency despite strong basket value.

TECHNICAL APPENDIX

The following metrics establish baseline profiling but do not dictate immediate strategic shifts.

DEMOGRAPHIC EFFICIENCY

Age vs. Median Ticket Size

Marketing successfully captures volume in the 26-35 bracket (219,587 users) but misses our highest-median demographic (51-55 bracket, Median: \$9,534).

SKU CONCENTRATION

Top 10 Products

The dataset explicitly identifies the top 10 SKUs by purchase volume, categorized predominantly under Categories 1, 5, and 8.

USER COMPOSITION

Gender Split



The user base is heavily skewed: 75.31% Male / 24.69% Female.

NON-FACTOR VARIABLE

Marital Status

Negligible business impact. The median ticket variance between single and married cohorts is under \$5 (\$9,266 vs \$9,261) and should not influence targeting.

PRIMARY PROFESSIONAL SEGMENT

Occupation

Occupation 4 (Engineers/Tech) drives the highest baseline engagement (72,308 users).